

Coal Mining Lease Agreement

Instrument No. MTM-94378 | Big Horn County, MT | Prepared June 1, 2012

PARTIES

Lessor / Grantor: Bureau of Land Management
Lessee / Grantee: Spring Creek Coal (NTEC)

RECITALS

THIS COAL MINING LEASE AGREEMENT ("Agreement") is entered into by and between the parties identified above. Lessor is the owner of, or holds authority to lease, the lands described herein, and desires to lease said lands to Lessee for the purposes set forth below, subject to all applicable federal, tribal, and state regulations, including where applicable the oversight of the Bureau of Indian Affairs (BIA), Bureau of Land Management (BLM), and the Office of Surface Mining Reclamation and Enforcement (OSMRE).

PREMISES & LEGAL DESCRIPTION

Legal Description: T9S R40E Sec 1-4, 9-12
Gross Acreage: 8,960 acres, more or less

The leased premises are located within the Public Land Survey System as described above, together with all rights of ingress and egress reasonably necessary for the operations contemplated hereunder.

TERM

Effective Date: June 1, 2012
Primary Term Ends: May 31, 2032

This Agreement shall remain in effect for the primary term stated above and so long thereafter as operations are conducted or the premises are Held By Production (HBP), unless sooner terminated in accordance with its terms.

CONSIDERATION

Annual Rental: \$89,600
Royalty Rate: 12.5% of gross proceeds

Lessee shall pay the rentals and royalties set forth above in accordance with the payment schedule maintained by the NTEC Land Department. Time is of the essence with respect to all payment obligations.

OBLIGATIONS & COMPLIANCE

- Lessee shall conduct all operations in a good and workmanlike manner consistent with prudent industry practice.
- Lessee shall comply with all reclamation, environmental, and bonding requirements applicable to the premises.
- Lessee shall carry insurance and furnish certificates as required, and shall indemnify Lessor as provided herein.

- Reports, rentals, and royalty statements shall be tendered on or before their respective due dates.

SPECIAL PROVISIONS

Advance royalty / rental due annually to BLM. Diligent development compliance required.

EXECUTION

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date first written above.

LESSOR / GRANTOR - Bureau of Land Management

LESSEE / GRANTEE - Spring Creek Coal (NTEC)

Date: _____

Date: _____